

Chapter 18

International Trade, Comparative Advantage, and Protectionism

Lecturer: Mihyun You

Department of Economics
Georgetown University

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Debate on Free Trade

- During the early years of nineteenth century, the debate on the issue of free trade took place in the British Parliament.
 - For a number of years, imports and exports of grain had been subject to a set of tariffs, subsidies, and restrictions collectively called the **Corn Laws**.

NOTE: Corn Laws

- Designed to discourage imports of grain and to encourage exports.
 - The tariffs, subsidies, and restrictions enacted by the British Parliament in the early nineteenth century to discourage imports and encourage exports of grain.
 - In pursuit of keeping the food price high, protection of landlord's incomes
- Tariffs on grain imports and export subsidies increased the wages that capitalists had to pay, cutting into their profits.

Repeal of Corn Laws

- The power of the landowners in the House of Lords was significantly reduced.
- In 1848, the Corn Laws were repealed.
- On the side of repeal was David Ricardo, who claimed **theory of comparative advantage**.
 - According to the theory, specialization and free trade will **benefit all trading partners**, even those that may be absolutely less efficient producers.

The Economic Basis for Trade

Absolute Advantage versus Comparative Advantage

- Absolute advantage:
The advantage in the production of a good enjoyed by one country over another when it uses fewer resources to produce that good than the other country does.
- Comparative advantage:
The advantage in the production of a good enjoyed by one country over another when that good can be produced at a *lower opportunity cost* (in terms of other goods that must be foregone) than it could be in the other country.

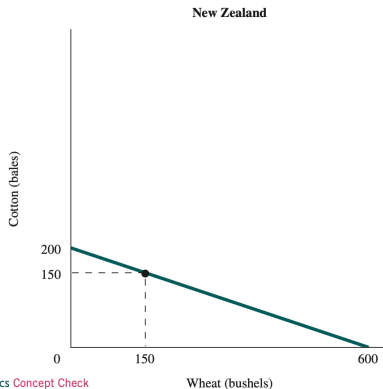
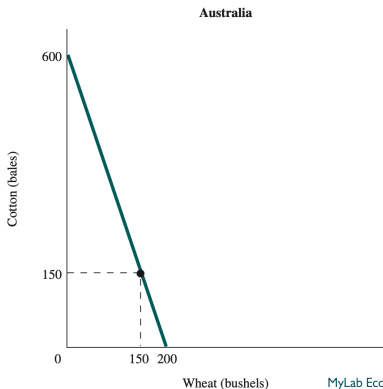
Gains from Mutual Absolute Advantage

- Assumptions:
 - Two-country (New Zealand and Australia)/two-good (wheat and cotton) world
 - Before the trade, both countries consume equal amounts of wheat and cotton.
 - Each country has only 100 acre of land for planting.

TABLE 18.1 Yield per Acre of Wheat and Cotton

	New Zealand	Australia
Wheat	6 bushels	2 bushels
Cotton	2 bales	6 bales

PPF for Both Countries Before Trade



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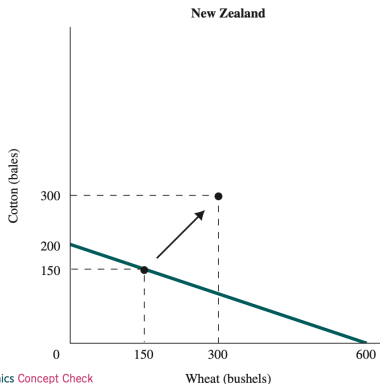
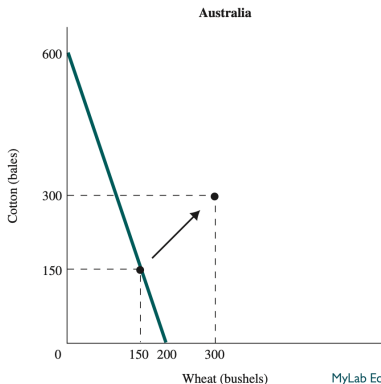
Trade Behavior

- When there is mutual absolute advantage, it is easy to see that specialization and trade will benefit both countries.

TABLE 18.3 Production and Consumption of Wheat and Cotton After Specialization

	Production			Consumption	
	New Zealand	Australia		New Zealand	Australia
Wheat	100 acres × 6 bushels/acre 600 bushels	0 acres 0	Wheat	300 bushels	300 bushels
Cotton	0 acres 0	100 acres × 6 bales/acre 600 bales	Cotton	300 bales	300 bales

Expanded Possibilities After Trade



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Gains from Comparative Advantage

- Now New Zealand has a considerable absolute advantage in the production of both cotton and wheat.
- Ricardo would argue that *specialization and trade are still mutually beneficial*.

TABLE 18.4 Yield per Acre of Wheat and Cotton

	New Zealand	Australia
Wheat	6 bushels	1 bushel
Cotton	6 bales	3 bales

Trade Behavior

TABLE 18.6 Realizing a Gain from Trade when One Country Has a Double Absolute Advantage

STAGE 1			STAGE 2		
	New Zealand	Australia		New Zealand	Australia
Wheat	50 acres × 6 bushels/acre 300 bushels	0 acres 0	Wheat	75 acres × 6 bushels/acre 450 bushels	0 acres 0
Cotton	50 acres × 6 bales/acre 300 bales	100 acres × 3 bales/acre 300 bales	Cotton	25 acres × 6 bales/acre 150 bales	100 acres × 3 bales/acre 300 bales

STAGE 3		
	New Zealand	Australia
	100 bushels (trade)	
	→	
Wheat	350 bushels (after trade)	100 bushels
	200 bales (trade)	
	←	
Cotton	350 bales (after trade)	100 bales

Why Does Ricardo's Plan Work?

- To understand why Ricardo's scheme works, let us return to the definition of comparative advantage.
- The real cost, which is an opportunity cost, of producing cotton is the wheat that must be sacrificed to produce it.
- When we think of cost this way, *it is less costly to produce cotton in Australia than to produce it in New Zealand, even though an acre of land produces more cotton in New Zealand.*
- Australia has a comparative advantage in cotton production because its opportunity cost, in terms of wheat, is lower than New Zealand's.
- When countries specialize in producing goods in which they have a comparative advantage, they maximize their combined output and allocate their resources more efficiently.

Terms of Trade

- Terms of trade:
The ratio at which a country can trade domestic products for imported products
- The terms of trade determine how the gains from trade are distributed among trading partners.
 - In the case just considered, the agreed-to terms of trade were 1 bushel of wheat for 2 bales of cotton.
 - If the terms of trade changed to 3 bales of cotton for every bushel of wheat, only New Zealand would benefit.
 - Such terms do not benefit Australia at all because the opportunity cost of producing wheat domestically is exactly the same as the trade cost.
- In this case, you can see that both Australia and New Zealand will gain when the terms of trade are set between 1:1 and 3:1, cotton to wheat.

Practice Problem

2.1 Suppose Latvia and Estonia each produce only two goods, tractors and bobsleds. Both are produced using labor alone. Assuming both countries are at full employment, you are given the following information:

Latvia: 12 units of labor required to produce 1 tractor
 4 units of labor required to produce 1 bobsled
 Total labor force: 900,000 units

Estonia: 16 units of labor required to produce 1 tractor
 8 units of labor required to produce 1 bobsled
 Total labor force: 600,000 units

- a. Draw the production possibility frontiers for each country in the absence of trade.
- b. If transportation costs are ignored and trade is allowed, will Latvia and Estonia engage in trade? Explain.
- c. If a trade agreement is negotiated, at what rate (number of tractors per bobsled) would they agree to exchange?

The Heckscher-Ohlin Theorem

- What determines whether a country has a comparative advantage in a certain industry?
- Most economists look to **factor endowments**—the quantity and quality of labor, land, and natural resources of a country—as the principal sources of comparative advantage.

NOTE: Heckscher-Ohlin Theorem:

- A theory that explains the existence of a country's comparative advantage by its factor endowments.
- A country has a comparative advantage in the production of a product if that country is relatively well endowed with inputs used intensively in the production of that product.

Free Trade versus Protection

An Economic Consensus

- In one sense, the theory of comparative advantage is the case for free trade.
- However, what about the industry that is less competitive?
- It is true that when we buy goods from foreign producers, domestic producers suffer.
- However, there is no reason to believe that the workers laid off in the contracting sectors will not ultimately be reemployed in expanding sectors.
- Although foreign competition can cause job loss in specific sectors, it is unlikely to cause the net job loss in an economy and workers will, over time, be absorbed into expanding sectors.